

Tempus AI, Inc.
TEM NASDAQ

Buy \$51.29 ▲ 8.73% 12M Price Target \$68.00 52-Week Range \$41.73 – \$104.32 Market Cap \$9.21B

TEM: BMS Expansion, ArteraAI Launch Catalyze 8.7% Breakout

WHAT'S CHANGED

- TEM surged +8.73% on 9.8M shares (~2.4x recent avg volume) following ArteraAI Prostate Test launch — the first externally developed digital pathology algorithm on its platform — and ASCO data readout supporting precision oncology expansion.
- Strategic BMS partnership deepening (announced 5/23) extends AI-enabled drug development collaboration; bullish call flow at \$52/\$53 strikes (15x OI on June \$53s) signals positioning into ASCO momentum.

IMPLICATIONS

The convergence of three catalysts — ArteraAI commercial launch, BMS strategic expansion, and ASCO data — validates Tempus's dual-engine model (Genomics + Data/AI Services) and de-risks the FY26 revenue trajectory toward the \$1.4–1.5B zone. Healthcare ETF strength (+2.55% 5D) provides macro tailwind, while the 15% 52-week range position suggests substantial room for multiple re-rating if BMS deal economics are quantified on the next print. Insider sales by the CFO and Diagnostics CEO at \$44 were modest in size and pre-date the ArteraAI/ASCO catalysts, reading more as scheduled liquidity than directional signal.

VALUATION

At \$9.21B market cap on ~\$1.47B FY26E revenue, TEM trades at ~6.3x EV/Sales — a discount to high-growth diagnostics/AI peers (NTRA ~9x, VEEV ~12x) despite accelerating Data & Services attach via BMS. Our \$68 PT applies ~8.5x FY27E revenue, reflecting ~33% upside, contingent on Genomics unit economics improvement and visible path to adjusted EBITDA breakeven by 2H27. Multiple expansion driver: conversion of pharma partnerships into recurring data licensing revenue at software-like gross margins.

KEY RISKS

- Cash burn and dilution risk — persistent operating losses (EPS -\$1.35E) require continued capital markets access; equity raise at current levels would pressure shares.
- Reimbursement risk on genomic testing (LCD changes, payer pushback) could compress core Genomics gross margin.
- Concentration risk in pharma partnerships — BMS deal economics opacity means any deceleration or competitive displacement (Recursion, Schrödinger) materially impacts the Data narrative.

RECENT NEWS

Langston's | Equity Research Coverage

AI-Generated Pre-Market Brief | 2026-05-29 01:17 UTC

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

Key Data

Price (USD)	\$51.29
12M Price Target	\$68.00
Upside / (Downside)	+32.6%
Market Cap	\$9.21B
FY2026E Revenue	\$1,465M
FY2027E Revenue	\$1,880M
FY2026E EPS	(\$1.35)
FY2027E EPS	(\$0.75)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P 500



PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$58.00	\$52.00	\$44.00
6 Months	\$75.00	\$62.00	\$40.00
1 Year	\$95.00	\$68.00	\$35.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$130.00	\$22.00
10 Years	\$420.00	\$210.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Healthcare, Consumer Discretionary

COLD SECTORS: Energy, Consumer Staples

ROTATION WATCH: Healthcare leadership (+2.55% 5D) with biotech/AI-diagnostics sub-themes benefitting from ASCO catalyst window and falling rate expectations supports duration-heavy growth names like TEM.

BYPRODUCT PLAY: Pharma AI-enabled R&D spending creates secondary tailwinds for clinical data aggregators (SDGR, RXRX) and lab automation (TMO, A) — TEM uniquely sits at the intersection of clinical diagnostics and pharma data monetization.

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): Sustained 30%+ revenue growth with Signatera MRD adoption driving multiple expansion to ~9x EV/Sales.
- RXRX (Recursion): AI drug discovery narrative re-rating on Roche/Genentech milestone progress.

TEM CONTEXT: TEM is re-engaging with peer group after lagging YTD — today's 8.7% breakout on 2.4x volume suggests institutional re-accumulation; relative strength inflection if it can hold above \$50 through ASCO week.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$46-49 on consolidation pullback

Time Horizon: 12-24 months

Thesis Invalidation: BMS partnership deceleration, Genomics revenue growth <30% YoY, or cash runway <18 months

Hedging: Long TEM / Short XBI basket or paired short vs. NTRA at richer EV/Sales